

3.

CASE #	CASE NAME	HEARING NAME
CVPS2602233	LARI VS STATE FARM GENERAL INSURANCE CO.	HEARING ON PETITION RE: ARBITRATION AWARD

Tentative Ruling: Under Insurance Code § 2071, fire insurance policies are required to contain the following language:

In case the insured and this company shall fail to agree as to the actual cash value or the amount of loss, then, on the written request of either, each shall select a competent and disinterested appraiser and notify the other of the appraiser selected within 20 days of the request. Where the request is accepted, the appraiser shall first select a competent and disinterested umpire; and failing for 15 days to agree upon the umpire, then, on request of the insured or this company, the umpire shall be selected by a judge of a court of record in the state in which the property covered is located. Appraisal proceedings are informal unless the insured and this company mutually agree otherwise. For purposes of this section, "informal" means that no formal discovery shall be conducted, including depositions, interrogatories, requests for admission, or other forms of formal civil discovery, no formal rules of evidence shall be applied, and no court reporter shall be used for the proceedings. The appraisers shall then appraise the loss, stating separately actual cash value and loss to each item; and, failing to agree, shall submit their differences, only, to the umpire. An award in writing, so itemized, of any two when filed with this company shall determine the amount of actual cash value and loss. Each appraiser shall be paid by the party selecting him or her and the expenses of appraisal and umpire shall be paid by the parties equally. In the event of a government-declared disaster, as defined in the Government Code, appraisal may be requested by either the insured or this company but shall not be compelled.

The appraisal process described above constitutes an agreement for contractual arbitration. (*Alexander v. Farmers Ins. Co., Inc.* (2013) 219 Cal.App.4th 1183, 1186.) "Accordingly, '[a]ppraisal hearings are a form of arbitration and are generally subject to the rules governing arbitration.'" (*Id.* at 1187, citing *Kacha v. Allstate Ins. Co.* (2006) 140 Cal.App.4th 1023, 1031.)

Based on this, Petitioner seeks entry/confirmation of the appraisers' partial award under CCP § 1285. This code section states: "[a]ny party to an arbitration in which an award has been made may petition the court to confirm, correct or vacate the award." (*Id.*) Under § 1283.4, an "award shall be in writing and signed by the arbitrators concurring therein. It shall include a determination of all the questions submitted to the arbitrators the decision of which is necessary in order to determine the controversy." (*Id.*) Respondent argues that this motion cannot be granted because Petitioners seek only entry of a partial award, which is not allowed.

While parties may agree to have arbitrators issue a series of rulings in the course of resolving their dispute, a partial award typically will not meet the requirements under CCP § 1283.4. A partial award can be entered only in the unique circumstance where

“[t]he issues left open for resolution in a subsequent award simply could not have been decided as part of the partial final award because their nature and scope were uncertain as of the award date.” (*Kaiser v. Foundation Health Plan, Inc. v. Superior Court* (2017) 13 Cal.App.5th 1125, 1148-1149.) Issues that are known and capable of being resolved but are left by the parties to be determined at a later date, do not fit within the unique circumstances where a partial award is allowed. Where these unique circumstances are not present, a partial award is not an award and the court lacks jurisdiction to confirm it. (*Id.* at 1150.)

The award that Petitioners seek entry of is labeled “Insurance Policy Appraisal Partial Award.” Petitioners’ memorandum of points and authorities clearly states that the Insurance Policy Appraisal Partial Award is “a partial award that did not include personal property.” (Petitioners’ Memorandum of Points and Authorities, 8:12-13.) The parties sought an appraisal of the damage to the house and the Petitioners’ personal property in the home. (Declaration of Andrew P. Collier, ¶ 2.) The partial award only pertains to part of this dispute. No evidence indicates that the nature and scope of the personal property is such that it can only be resolved at a later date or not until after the issue regarding the damage to the home was resolved. There is no indication that the dispute regarding the personal property has been resolved. As such, the court lacks jurisdiction to grant this motion because Petitioners seek entry of a partial award.

In reply, Petitioners contend that arbitrators are allowed to make multiple awards that can be entered by the Court at separate times. However, none of the authority provided supports that the entry of multiple different awards in this matter is proper. Petitioners point to *Hightower v. Superior Court* (2001) 86 Cal.App.4th 1415, to support this assertion. *Hightower* involved a shareholder dispute over the purchase of shares under the shareholder agreement. (*Id.* at 1420-141422.) In *Hightower*, the Court found that multiple awards were appropriate because not all issues in that matter were capable of resolution until after the first award was decided. (*Id.* at 1439.) “The arbitrator has not improperly left undecided issues ‘necessary in order to determine the controversy.’ Rather, he determined all issues that are necessary to the resolution of the essential dispute arising from Hightower’s breach. The arbitrator’s judgment on this point must be respected. Nothing remains to be resolved except those potential and conditional issues that necessarily could not have been determined on April 24, 2000, when the Partial Final Award was issued.” (*Id.*) The parties in this matter went to appraisal to determine the value of damages to Petitioners’ residence and their personal property. The issue of the value of the damages to Petitioners’ personal property is still at issue and a determination on this matter is necessary in order to determine the controversy.

In *Devonwood Condominium Owners Assn. v. Farmers Ins. Exchange* (2008) 162 Cal.App.4th 1498, 1506, the issue in dispute was whether the judgment conformed to the appraisal award. It did not discuss whether a court is permitted to enter partial appraisal awards. As such, it is not applicable to this matter.

The fact pattern in *Louise Gardens of Encino Homeowner’s Assn., Inc. v. Truck Ins. Exchange, Inc.* (2000) 82 Cal.App.4th 648, 661, is not applicable to this matter. In *Louise Gardens*, Louise Gardens of Encino Homeowner’s Association, Inc. appealed a judgment entered upon an order confirming an arbitration, which confirmation had been requested by the association. (*Id.* at 651.) The Court found that the Association could not later appeal the judgment entered regarding the appraisal award. (*Id.* at 661.) There is no discussion regarding whether a partial constitutes an award under CCP §1283.4.

The last case relied on by Petitioner, *Ortiz v. Elmcrest Care Center, LLC* (2024) 106 Cal.App.5th 594, 609, the arbitrator made an interim order that decided everything but attorney's fees and costs. Before the issues of attorney's fees and costs were heard, the arbitrator, after receiving applications from both parties, changed the interim order twice. The last time the arbitrator changed its award of compensatory damages, it also decided the issues of attorney's fees and costs. (*Id.*) The trial court found that the arbitrator's changes to the interim orders was improper because it constituted an award. The Court of Appeal found that the interim orders were not awards under CCP § 1283.4 and the arbitrator could make changes until it decided the issue of attorney's fees and costs. The Court found "[a] ruling that reserves a final determination on matters that could have been decided at the time plainly does not satisfy the statutory definition of an 'award' under the statute." (*Id.* at 610.) In the partial award entered by the appraisers, it specifically indicates that it does not include a determination regarding personal property and that it is a partial award. Based on the reasoning in *Ortiz*, the partial award is not an "award" under CCP § 1283.4.

In reply, Petitioners contend that sometime during the appraisal process, Respondent indicated that it was going to reevaluate its issues with Petitioner's personal property claims. Exhibit D to Matthew Blumkin's Second Supplemental Declaration, provided to support this assertion, is not persuasive.

Petitioner's Objections to Evidence Submitted in Opposition to 1st Amended Petition to Confirm the Appraisal Award Dated March 9, 2026 numbers 1-62 SUSTAINED.

State Farm's Objections to Insureds' Evidence Offered in Support of Insureds' First Amended Petition numbers 1-5 SUSTAINED.

First Amended Petition to Confirm the Appraisal Award Dated March 9, 2026 DENIED.

4.

CASE #	CASE NAME	HEARING NAME
CVPS2602233	LARI VS STATE FARM GENERAL INSURANCE CO.	HEARING RE: CROSS PETITION TO DECLARE APPRAISAL NULL AND VOID

Tentative Ruling: Respondent asserts that the Court lacks authority to vacate or confirm the partial award. However, it cites to no authority that the Court has the ability to void a partial award. Under CCP § 1285, "[a]ny to an arbitration in which an award has been made may petition the court to confirm, correct or vacate the award." As discussed above, under § 1283.4, an "award shall be in writing and signed by the arbitrators concurring therein. It shall include a determination of all the questions submitted to the arbitrators the decision of which is necessary in order to determine the controversy." (*Id.*) As discussed above, the partial award does not constitute an "award" under CCP § 1283.4. As such, the Court lacks authority to confirm, correct or vacate the partial award.

While Respondent asks the Court to void the partial award, it cites to no authority the Court is allowed to do this. It also asks the Court to order the matter to be reheard by a new panel. Again, Respondent points to no authority to support that the Court has the power to do this. It cites to CCP § 1287, which allows a rehearing before new arbitrators only if an award is vacated, which as discussed above cannot occur at this time. "Under California law, the scope of judicial review of arbitration awards is very narrow." (*VVA-TWO LLC v. Impact Development Group, LLC* (2020) 48 Cal.App.5th 985, 998.) A court